## THE IMPORTANCE OF PROCESS AND TEMPERAMENT

A necessary part of investing is being intellectually honest. Sometimes, you make money because your investment thesis was correct. Other times, you simply get lucky. Just because you made money doesn't mean you made a good investment, and just because you lost money doesn't mean you made a poor investment. In order to be successful over the long run, investors must distinguish skill from luck, and learn from successes and failures alike.

A sound investment process requires a disciplined approach to analysis and a healthy and informed debate over the merits of every investment. Emotion must be avoided. It's important for investment firms to build an environment where people with diverse perspectives and backgrounds can honestly and respectfully share their views. Decision-making must be examined over time, and postmortems must be conducted in order to improve future decision-making. The best investors focus on process rather than outcomes, because they know that good process eventually leads to better outcomes, while good outcomes are not necessarily reflective of good process and could reflect mere luck, not skill.

Investors need a plan that can succeed over a full market cycle, one they can stick to with conviction during the inevitable periods of underperformance. If you could predict the future meanderings of the market, you'd want to be fully invested at the bottom and get out at the top. But because we can't predict the path of share prices, the only way to proceed is to invest with the idea of holding your investments through thick and thin. This means buying investments with good upside potential and limited downside risk. But as Graham and Dodd argued so forcefully, we must remember that conditions will change. It makes little sense, for example, to pivot to a more defensive strategy after the market and economy have cratered, or to adopt a more